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UNITY IN DIVERSITY

How Ajay Srinivasan is
driving integration among
the seven financial
services businesses of the
Aditya Birla group

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Ajay Srinivasan,
CEO (financial services),
Aditya Birla Group and
business head (financial
services), Aditya Birla Nuvo



DID YOU KNOW?

Britannia Industries, famous for its Britannia and Tiger brands of biscuit, was started in 1892 with an investment of Rs 295.

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His decade-long career at Prudential Plc was the stuff every St Stephens and Indian Institute of Management Ahmedabad alumnus like him would aspire for.

As chief executive of the UK financial service power house's Asian operations, Ajay Srinivasan, then based in Hong Kong, was managing assets worth \$60 billion. And just when speculation started that he was headed for London to become one of Prudential's global bosses, Srinivasan quit.

The destination he chose, however, surprised many, though Srinivasan says he didn't take much time to say yes to Kumar Mangalam Birla's offer to turbocharge the Aditya Birla group's financial services business. But it couldn't have been an easy decision. The Indian conglomerate's six-year-old life insurance firm and the 13-year-old mutual fund were languishing at that point and the group had just quit retail broking apart from going slow on other services.

The structure also was a big problem. Though the Aditya Birla group had a strong brand equity, the financial services business was (it still is) under a loosely-formed Aditya Birla Nuvo, which is a holding company for diverse businesses such as insurance, textiles, telecommunication and even carbon black. On top of that, quite a few veterans who had held the financial services business together for long had already headed out.

But three years after taking charge, Srinivasan sounds credible when he talks about the "turnaround story". Consider the numbers. The growth shown by the financial services arm helped Nuvo return to profitability in the quarter ended March 31, 2010. The company reported a net profit of Rs 180 crore, compared to a loss of Rs 146 crore in the corresponding period of the previous year. For the full year, net profit was Rs 155 crore compared to a loss of Rs 436 crore in the year-ago period. The EBITDA (income from operations) for the full year at Rs 1,686 crore was the highest-ever.

The journey that the Aditya Birla Fi-

ancial Services Group — Srinivasan calls it a conglomerate within a conglomerate — has travelled in the three years since the new team took charge has been spectacular. Since 2007-08, consolidated revenues have grown over 40 per cent to Rs 6,139 crore in 2009-10, without including income from policy holder investment, other income and so on. Assets under management have increased by 40 per cent to around Rs 80,000 crore. The number of customers in the same period has increased to 5.6 million from 3.4 million, while the number of employees has gone up to around 16,000 from 10,000.

The numbers are still modest even by Indian standards — the life insurance and mutual funds businesses are the fifth largest in India — but Srinivasan says

struggled. The company's market share in new premium income increased from 7.8 per cent in March 2008 to 10.4 per cent by the end of 2009-10. In such a challenging environment, Birla Sun's new business premium grew by 44 per cent against a 3 per cent decline in growth for the industry. If the life insurance business has been a success story, so has been the asset management business which saw assets grow at an average 31 per cent, compared with the industry growth of 7 per cent in that period.

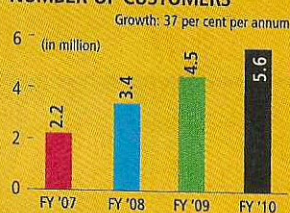
However, there are still many grey areas. Analysts say even as the group revs up its financial services business, it would need to pump in funds, and that's a huge concern. Also, Nuvo has a market cap of just around Rs 7,300 crore, which is less than half the m-cap of Reliance Capital (over Rs 15,500 crore), a pure financial services company. But nobody can deny that the top team at ABFSG has covered a huge distance in the last three years. Here's how.

FAST-TRACK GROWTH ADITYA BIRLA FINANCIAL SERVICES GROUP

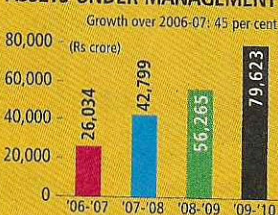
REVENUE



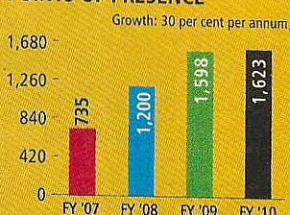
NUMBER OF CUSTOMERS



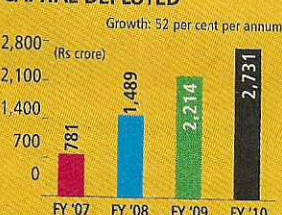
ASSETS UNDER MANAGEMENT



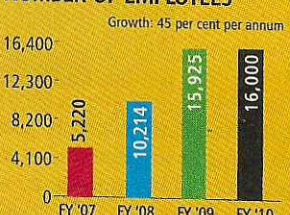
POINTS OF PRESENCE



CAPITAL DEPLOYED



NUMBER OF EMPLOYEES



they should be seen from the perspective of where they were three years back. And the platform has been set for fulfilling the group's ambition to make these two businesses among the top three in India in the not-too-distant future.

He could well be right. Because even in a tumultuous 2009, Birla Sun Life Insurance clocked robust volume growth and gained market share even as others

one brand, Aditya Birla Money. Attaching the Aditya Birla brand name to each of the businesses was important as investors in India still prefer safety over returns and are always looking for reassurance. Therefore, who offers the service is often much more important than the offering in the market.

Driving synergies

The first task, Srinivasan says, was to set the structure right by driving integration in the conglomerate of seven legal entities — from life insurance to mutual funds, private equity, wealth management, non-banking financial company, retail broking and a general insurance broking business. The idea was to see it as one virtual company with many real businesses. Earlier, they were all operating as islands with separate management structures and without a common vision. That has been set right, partly by giving a common identity to some of the firms. For example, the broking, wealth management and distribution businesses are now positioned under